

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR ENGROSSED
6 SENATE BILL NO. 259

By: Howard and Burns of the
Senate

and

Newton of the House

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10 COMMITTEE SUBSTITUTE

11 An Act relating to water and water rights; amending
12 82 O.S. 2021, Sections 1020.12, 1020.15, and 1020.19,
13 which relate to groundwater use, reporting, metering,
14 and permitting; modifying reporting requirements for
15 certain water use; providing for fines and penalties;
16 modifying permitting exclusions; requiring Oklahoma
17 Water Resources Board to investigate certain usage
18 complaints; directing metering and measurement of
19 certain groundwater usage subject to Oklahoma Water
20 Resources Board monitoring; directing implementation
21 of metering schedule and phase-in; requiring Oklahoma
22 Water Resources Board to implement certain priorities
23 relating to groundwater use; requiring Oklahoma Water
24 Resources Board to promulgate rules; amending 82 O.S.
 2021, Section 1085.2, as last amended by Section 3,
 Chapter 164, O.S.L. 2023 (82 O.S. Supp. 2025, Section
 1085.2), which relates to duties of the Oklahoma
 Water Resources Board; expanding duties of the
 Oklahoma Water Resources Board; updating statutory
 language and references; providing for codification;
 and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

1 SECTION 1. AMENDATORY 82 O.S. 2021, Section 1020.12, is
2 amended to read as follows:

3 Section 1020.12. A. Holders of permits shall be required to
4 report to the Oklahoma Water Resources Board annually their use of
5 water pursuant to their permits. Holders of permits shall remit the
6 report as required by the Board in the period following the
7 permitted use. Willful failure to report annual usage may result in
8 ~~cancellation~~ penalties, fines, or suspension of the permit by the
9 Board upon proper notice and hearing as provided in the
10 Administrative Procedures Act. Nonuse, conservation, or usage
11 practices that result in less usage than the permit maximum shall
12 not result in diminishment of the permit holder's future permitted
13 equal proportional share.

14 B. Holders of permits which use groundwater in connection with
15 an animal feeding operation which houses swine and primarily uses a
16 liquid waste management system where animals are primarily housed in
17 a roof-covered structure shall be required to indicate such use in
18 their annual water use report. Such holders shall also indicate
19 whether or not the animal feeding operation is licensed pursuant to
20 the Oklahoma Concentrated Animal Feeding Operations Act.

21 C. The Board shall notify the ~~State~~ Oklahoma Department of
22 Agriculture, Food, and Forestry of the names and addresses of all
23 permit holders who report usage of groundwater in connection with an
24 animal feeding operation which houses swine and which primarily uses

1 a liquid waste management system where animals are primarily housed
2 in a roof-covered structure and who are not licensed pursuant to the
3 Oklahoma Concentrated Animal Feeding Operations Act.

4 SECTION 2. AMENDATORY 82 O.S. 2021, Section 1020.15, is
5 amended to read as follows:

6 Section 1020.15. A. The Oklahoma Water Resources Board shall
7 not permit any groundwater user to commit waste by:

8 1. Drilling a well, taking, or using groundwater without a
9 permit, except for domestic use as defined in this title;

10 2. Taking more groundwater than is authorized by the permit;

11 3. Taking or using groundwater in any manner so that the water
12 is lost for beneficial use;

13 4. Transporting groundwater from a well to the place of use in
14 such a manner that there is an excessive loss in transit;

15 5. Using groundwater in such an inefficient manner that
16 excessive losses occur;

17 6. Allowing any groundwater to reach a pervious stratum and be
18 lost into cavernous or otherwise pervious materials encountered in a
19 well;

20 7. Permitting or causing the pollution of a fresh water strata
21 or basin through any act which will permit fresh groundwater
22 polluted by minerals or other waste to filter or otherwise intrude
23 into such a basin or subbasin. The Board shall be precluded from
24 determining whether waste by pollution will occur pursuant to the

provisions of this paragraph if the activity for which the applicant or water user intends to or has used the water as specified under Section 1020.9 of this title is required to comply with rules and requirements of or is within the jurisdictional areas of environmental responsibility of the Department of Environmental Quality or the Oklahoma Department of Agriculture, Food, and Forestry;

8. Drilling wells and producing groundwater therefrom except in accordance with the well spacing previously determined by the Board;

9. Using groundwater for air conditioning or cooling purposes without providing facilities to aerate and reuse such water; ~~or~~

10. ~~Failure~~ Failing to properly plug abandoned water wells in accordance with rules of the Board and file reports thereof; or

11. Using groundwater for cooling purposes at a data processing facility or data center through open-air evaporative cooling systems or any other cooling technology that consumes groundwater through evaporation or discharge without recirculation. Groundwater permits for such facilities shall only be issued if the applicant demonstrates that the cooling system utilizes closed-loop, dielectric immersion, or other comparably low-consumptive cooling technologies that substantially recirculate groundwater and minimize consumptive loss as determined by the Board.

B. Complaints by any individual in violation of the provisions of subsection A of this section shall be made to the Board and to

1 the local groundwater irrigation district, if such district is
2 established pursuant to the Groundwater Irrigation District Act.
3 Investigation of such complaints shall be made by the Board, in
4 conjunction with such other agencies, boards, or the district, with
5 which the Board may contract. Except as otherwise provided by
6 paragraph 7 of subsection A of this section, ~~any employee of the~~
7 ~~Board having evidence that an act of waste is being committed in his~~
8 ~~or her presence, or after investigation of a complaint filed by~~
9 ~~another individual, shall take steps to assure that the waste ceases~~
10 upon review of reporting, audits of usage, an investigation of a
11 complaint filed by any person, or the Board's own independent
12 determination, the Board shall take action to cease commission of
13 such waste and impose fines and penalties on such user as provided
14 in Section 1020.22 of this title. Such steps shall include, but
15 shall not be limited to ~~pursuing voluntary compliance~~, obtaining the
16 issuance of a cease and desist order by the Executive Director of
17 the Oklahoma Water Resources Board, imposing progressive fines and
18 penalties related to the severity and frequency of waste, requiring
19 more frequent reporting of usage, instituting action in a court of
20 competent jurisdiction to enjoin the waste, ~~pursuing a suspension of~~
21 ~~any~~ suspending the permit or other administrative remedies by the
22 Board, and filing a complaint in the district court of the county
23 wherein such violation has occurred, and it shall be the duty of the
24 district attorney of ~~said~~ such county to prosecute such complaint.

1 C. In cases of waste by pollution pursuant to paragraph 7 of
2 subsection A of this section, any complaint or investigation, or any
3 enforcement matter other than an individual proceeding involving the
4 suspension of an Oklahoma Water Resources Board permit, shall be
5 referred to and subject to the jurisdiction of the Department of
6 Environmental Quality or other appropriate state environmental
7 agency or state agency with limited environmental responsibility.

8 SECTION 3. AMENDATORY 82 O.S. 2021, Section 1020.19, is
9 amended to read as follows:

10 Section 1020.19. ~~Upon request of a majority of the landowners~~
11 ~~residing within a basin or subbasin, the Board is authorized to~~
12 ~~require that water wells be metered and that such meters as the~~
13 ~~Board shall approve be utilized by the applicant and placed under~~
14 ~~seal, subject to reading by the agents of the Board at any time.~~

15 A. The Oklahoma Water Resources Board may also shall require
16 that the applicant report the reading of such meters at reasonable
17 intervals all water wells requiring a permit to take and use
18 groundwater from the Oklahoma Water Resources Board be equipped at
19 any central point of distribution with water well flow meters or an
20 alternative measuring system as defined by the Board. The water
21 well flow meter or alternative measuring system shall have
22 contemporary, verifiable records, as defined by the Board. The
23 meter or alternative measuring system shall remain on the point of
24 distribution and in proper operating condition at all times when

1 groundwater is being produced. Data from the meter or alternative
2 measuring system shall be reported to the Board annually. Data from
3 the meter or alternative measuring system shall be utilized for the
4 annual groundwater use report. The meter and measurement
5 requirements of this section shall be implemented pursuant to the
6 provisions of Section 4 of this act.

7 B. Beginning January 1, 2027, a five-year allocation of the
8 maximum annual yield of the basin or subbasin may be approved for a
9 regular permit. An applicant for a five-year allocation shall be
10 required to submit annual usage as determined by a water well flow
11 meter or highly accurate alternative measuring device approved by
12 the Board and pay the annual permit fee. If approved by the Board,
13 the applicant may exceed the maximum annual yield in any year of the
14 five-year allocation by an amount as set by the Board, not to exceed
15 one hundred fifty percent (150%) of the amount of any single-year
16 maximum of the permit; provided, the applicant shall adhere to the
17 cumulative permit maximum over the five-year period.

18 C. Except as otherwise provided in this act, the Oklahoma Water
19 Resources Board shall promulgate any rules necessary to implement
20 the provisions of this section.

21 SECTION 4. NEW LAW A new section of law to be codified
22 in the Oklahoma Statutes as Section 1020.19A of Title 82, unless
23 there is created a duplication in numbering, reads as follows:
24

1 A. The Oklahoma Water Resources Board shall promulgate rules to
2 establish a phase-in schedule and plan for the meter and measurement
3 requirements established in Section 1020.19 of Title 82 of the
4 Oklahoma Statutes to ensure that the requirements are implemented
5 statewide not later than eight (8) years following the effective
6 date of this act.

7 B. The Board is authorized to promulgate rules and procedures
8 regarding the spacing of wells within groundwater basins. The
9 determinations made on the spacing of wells within a basin shall be
10 specific to that basin.

11 SECTION 5. NEW LAW A new section of law to be codified
12 in the Oklahoma Statutes as Section 1020.19B of Title 82, unless
13 there is created a duplication in numbering, reads as follows:

14 The Oklahoma Water Resources Board shall promulgate rules and
15 implement policies for the purposes of directing its agents,
16 employees, and systems to:

17 1. Accept, audit, and review reporting on a timely basis from
18 permitted groundwater users;

19 2. Modernize its data collection system with respect to
20 permitted groundwater users and implement a program to receive and
21 index usage reports by an online or electronic system;

22 3. Investigate any claims of waste pursuant to Section 1020.15
23 of Title 82 of the Oklahoma Statutes; and
24

1 4. Impose fines and penalties for overuse of water allotments
2 under a permit by any permitted well user or waste pursuant to
3 Section 1020.15 of Title 82 of the Oklahoma Statutes.

4 SECTION 6. AMENDATORY 82 O.S. 2021, Section 1085.2, as
5 last amended by Section 3, Chapter 164, O.S.L. 2023 (82 O.S. Supp.
6 2025, Section 1085.2), is amended to read as follows:

7 Section 1085.2. In addition to any and all other authority
8 conferred upon it by law, the Oklahoma Water Resources Board shall
9 also have authority:

10 1. Generally to do all such things as in its judgment may be
11 necessary, proper, or expedient in the accomplishment of its duties;

12 2. To make such contracts and execute such instruments as in
13 the judgment of the Board are necessary or convenient to the
14 exercise of any of the powers conferred upon it by law. Provided,
15 however, no contract shall be made conveying the title or use of any
16 waters of ~~the State of Oklahoma~~ this state to any person, firm,
17 corporation, or other state or subdivision of government, for sale
18 or use in any other state, unless such contract ~~be~~ is specifically
19 authorized by an act of the ~~Oklahoma~~ Legislature and thereafter as
20 approved by it;

21 3. To negotiate contracts and other agreements with the federal
22 government to arrange for the development of water resources and for
23 the storage and distribution of water for beneficial purposes;
24 provided, however, that the Board shall act in such capacity only as

1 an intermediary in assisting others, and under no circumstances
2 shall the Board have any power or authority to build, construct, or
3 finance any waterways, dams, or other such projects for itself,
4 except as may be otherwise specifically provided by the laws of this
5 state;

6 4. To develop statewide and local plans to assure the best and
7 most effective use and control of water to meet both the current and
8 long-range needs of the people of ~~Oklahoma~~ this state; to cooperate
9 in such planning with any public or private agency, entity, or
10 person interested in water, and is directed to prepare such plans
11 for consideration and approval by the Legislature; and to aid, at
12 all times, counties, incorporated cities and towns, and special
13 purpose districts in the state in promoting and developing flood
14 control and water conservation in the state;

15 5. To employ and fix the compensation of such officers, agents,
16 attorneys, technical personnel, and employees of the Board as it
17 shall deem necessary to the proper performance of its duties;

18 6. To adopt and use an official seal;

19 7. To promulgate such rules and make orders as it may deem
20 necessary or convenient to the exercise of any of the powers or the
21 performance of any of the duties conferred or imposed upon it by
22 this or any other law;

23 8. To institute and maintain, or to intervene in, any actions
24 or proceedings in or before any court, board, commission, or officer

1 of this or any other state or of the United States to stop or
2 prevent any use, misuse, appropriation, or taking of any of the
3 waters of this state which is in whole or in part in violation of
4 any law, or of any rules, orders, judgments, or decrees of any
5 court, board, commission, or officer of this or any state or of the
6 United States; and to institute and maintain or intervene in any
7 other action or proceeding where the Board deems it necessary to the
8 proper execution and discharge of any of the powers or duties
9 conferred or imposed upon it by law;

10 9. To determine, charge, and receive fees to be collected in
11 advance for the filing and examination of applications for permits
12 to:

- 13 a. construct water use works,
- 14 b. appropriate groundwater,
- 15 c. appropriate stream water,
- 16 d. establish vested rights,
- 17 e. inspect water use works,
- 18 f. file other papers,
- 19 g. make copies of documents,
- 20 h. make prints of maps and drawings,
- 21 i. certify copies of documents, maps, and drawings,
- 22 j. file transfers of water rights,
- 23 k. gauge wells and ditches, changes in point of
24 diversion, and changes in place of use of water,

1 1. test wells, and

2 m. hold hearings, make records, and provide transcripts
3 of hearings.

4 Such fees shall not be collected from any state agency or state
5 institution;

6 10. To negotiate contracts or water compacts with the federal
7 government or any department or bureau thereof, or with any other
8 state for the purpose of obtaining assistance and cooperation in the
9 accomplishment of the purpose of flood control and water
10 conservation and use in the state. To that end, the Board may match
11 funds with the federal government and with other states upon such
12 terms as shall be agreed upon and approved by the Governor of the
13 state, with the limitation that contracts or water compacts with
14 other states for the division and apportionment of the cost and use
15 of the water controlled by interstate projects shall be submitted to
16 and approved by the Legislature of the state and the Governor of the
17 state, and Congress and the President of the United States
18 conformable to the ~~State~~ Oklahoma Constitution and ~~Federal~~
19 ~~Constitutions~~ the United States Constitution;

20 11. To accept gifts and grants of money and property or any
21 interest therein;

22 12. To provide funding from federal and state monies for water
23 and wastewater project purposes to eligible entities for preliminary
24 engineering reports and planning and feasibility studies;

1 13. To sell or dispose of real or personal property held by the
2 Board when no longer needed in such manner as provided by law;

3 14. To make appropriations of water to all special purpose
4 districts;

5 15. To execute and deliver, without actual consideration
6 therefor, a written release of any easement or easement deed
7 heretofore given to the Oklahoma Conservation Commission ~~of the~~
8 ~~State of Oklahoma, the Planning and Resources Board~~ or the Oklahoma
9 Water Resources Board on lands situated in this state, whenever it
10 shall appear to ~~said~~ the Oklahoma Water Resources Board that the
11 need for such easement or easement deed no longer exists; provided,
12 the owner of the lands affected shall file a written application for
13 such release with the Oklahoma Water Resources Board;

14 16. To review disputes involving service areas or territories,
15 rates for raw or treated water, and abrogation clauses in contracts
16 among municipalities and rural water districts or not-for-profit
17 rural water corporations; to recommend mediation and refer parties
18 in appropriate disputes to mediators and provide technical
19 information to such mediators; and to recommend other means of
20 resolving disputes; provided, that no party to such dispute may
21 initiate action in any district court regarding the dispute until
22 written notice of the dispute has been filed with the Board;
23 provided further, that the provisions of this paragraph shall not be
24

1 construed to diminish any right of access to the court granted to a
2 party by law;

3 17. To provide workshop training sessions for board members of
4 rural water districts and not-for-profit rural water corporations
5 throughout the year on a regional basis for the purpose of study and
6 instruction in the areas of financing, law, and the ethics, duties,
7 and responsibilities of such board members. Such training shall be
8 provided by the Board in conjunction with the Oklahoma Rural Water
9 Association as required by law. To the extent possible, the Board
10 shall attempt to schedule training workshops in three-hour segments
11 to be held in any public facility at a time convenient to the
12 attendees;

13 18. To establish an agency special account through the Office
14 of Management and Enterprise Services and the ~~State Treasurer's~~
15 Office of the State Treasurer as necessary for the collection and
16 distribution of funds, including funds of sponsors and registration
17 fees related to conferences, meetings, and training sessions; ~~and~~

18 19. To accredit persons having requisite knowledge in
19 floodplain management and in minimization and prevention of flood
20 hazards and losses; and

21 20. To impose fines and penalties for overuse of water
22 allotments by any permitted well user or any unpermitted well user
23 who is not a domestic user pursuant to this title. Such fines and
24 penalties shall be progressive in nature related to severity and

1 frequency of overuse or unpermitted use and shall result in
2 suspension of a permit upon findings of willful disregard of
3 requirements by the user or multiple infractions by any permitted
4 user over the entirety of the user's permits.

5 SECTION 7. This act shall become effective November 1, 2026.

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7 COMMITTEE REPORT BY: COMMITTEE ON ENERGY AND NATURAL RESOURCES
8 OVERSIGHT, dated 04/14/2026 - DO PASS, As Amended.
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